

Multiple Choice

1. **Answer:** D

Options: A) hurts creditors who do not anticipate it.; B) hurts creditors who anticipate it.; C) hurts debtors.; D) both A and D are correct.

Note: Correct option: D - both A and D are correct.

2. **Answer:** D

Options: A) the demand curve will shift to the left.; B) the demand curve will shift to the right.; C) the supply curve will shift to the left.; D) the supply curve will shift to the right.

Note: Correct option: D - the supply curve will shift to the right.

3. **Answer:** B

Options: A) frictionally unemployed.; B) cyclically unemployed.; C) seasonally unemployed.; D) structurally unemployed.

Note: Correct option: B - cyclically unemployed.

4. **Answer:** C

Options: A) marginal cost (MC) intersects AVC and ATC at their maximum points.; B) AVC and ATC intersect MC at its maximum point.; C) MC intersects AVC and ATC at their minimum points.; D) AVC and ATC intersect MC at its minimum point.

Note: Correct option: C - MC intersects AVC and ATC at their minimum points.

5. **Answer:** C

Options: A) increases in taxes to fight recessions.; B) decreases in taxes to fight inflations.; C) changes in government spending and taxes to fight recessions or inflations.; D) federal deficits.

Note: Correct option: C - changes in government spending and taxes to fight recessions or inflations.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'calls for the federal government to run a deficit.'

7. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The government increases taxes and decreases spending.'

9. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** The United States has comparative advantage in salmon production, and Peru has comparative advantage in anchovy production.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** A Mexican entrepreneur founds and locates a software company in St. Louis.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key